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Roll No. | | | | | | | | | | | | | **Total No. of Pages : 03**

Total No. of Questions : 18

BBA (2018 Batch) (Sem.–3)

COST & MANAGEMENT ACCOUNTING

Subject Code : BBA303-18

M.Code : 76657

Time : 3 Hrs. **Max. Marks : 60**

INSTRUCTIONS TO CANDIDATES :

1. **SECTION-A is COMPULSORY consisting of TEN questions carrying TWO marks each.**
2. **SECTION-B consists of FOUR Sub-sections : Units-I, II, III & IV.**
3. **Each Sub-section contains TWO questions each, carrying TEN marks each.**
4. **Students have to attempt any ONE question from each Sub-section.**

SECTION-A

Write briefly :

Q1. What are the advantages of Management Accounting?

Q2. Define Ratio Analysis.

Q3. What is Variance Analysis?

Q4. Define Budget.

Q5. Write two examples of Indirect Expenses.

Q6. Cost of goods sold is Rs. 1,20,000; Sales is Rs 2,10,000. Calculate gross profit ratio.

Q7. Define Standard Cost.

Q8. Define Key Factor.

Q9. Define Fixed and Variable Cost.

Q10. List the objectives of cost accounting.

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SECTION-B

UNIT-I

Q11. State the difference between cost and management accounting.

Q12. You are given the following extracts from financial statements of XYZ company as on 31-3-2018 :

Balance Sheet :

Liabilities	Amt.	Assets	Amt.
Share capital	3,00,000	Building	1,50,000
Sundry creditors	48,000	Machinery	85,000
Bills Payable	10,000	Stock	50,000
Bank Overdraft	5,000	Debtors	59,000
Outstanding expenses	2,000	Prepaid expenses	1,000
		Cash	4,000
		Short term investments	16,000
	3,65,000		**3,65,000**

You are required to calculate liquidity and comment on :

i. Current ratio ii. Liquid ratio iii. Absolute Liquid ratio

UNIT-II

Q13. From the following balance sheet B Ltd. for the year ending 31st December 2018 and 2019, prepare comparative Balance Sheet.

Liabilities	31st Dec 2018	31st Dec 2019	Assets	31st Dec 2018	31st Dec 2019
Equity Share Capital	3,00,000	4,00,000	Goodwill	60,000	55,000
6 % Redeemable Preference capital	80,000	50,000	Land & Building	1,25,000	85,000
Capital Reserve		20,000	Plant & Machinery	1,20,000	2,25,000
General Reserve	30,000	40,000	Furniture	15,000	12,000
Profit and Loss A/c	26,000	35,000	Trade Investment	12,000	48,000
Sundry Creditors	30,000	58,000	Sundry Debtors	65,000	1,05,000
Bills Payable	12,000	8,000	Stock	90,000	84,000
Outstanding Expenses	6,000	5,000	Bills Receivable	16,000	30,000
Proposed Dividend	30,000	42,000	Cash in hand	13,000	20,000
Provision for Taxation	32,000	36,000	Cash at Bank	15,000	20,000
			Preliminary Expenses	15,000	10,000
	5,46,000	**6,94,000**		**5,46,000**	**6,94,000**

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Q14. Explain the Standard Costing and Variance Analysis. Also discuss its advantages and limitations.

UNIT-III

Q15. What is Zero Based Budgeting? State its advantages and limitations.

Q16. Prepare a flexible budget for production for 80% and 100% activity on basis of following information :

Production at 50% capacity	5000 units
Raw materials	Rs. 80 per unit
Direct labour	Rs. 50 per unit
Direct Expenses	Rs. 15 per unit
Factory expenses	Rs. 50,000 (50% fixed)
Administration expenses	Rs. 60,000 (60% fixed)

UNIT-IV

Q17. What is Marginal Costing? Explain the practical application of marginal costing with examples.

Q18. The following data is given :

Fixed cost	Rs. 12,000
Selling price	Rs. 12 per unit
Variable cost	Rs. 9 per unit

Calculate profit and contribution, also find out :

a) What will be the profit when sales are :

   i) Rs. 60,000

   ii) Rs. 1,00,000

b) What will be the amount of sales if it is desired to earn a profit of :

   i) Rs. 6,000

   ii) Rs. 15,000

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